جامعة خليفة
Khalifa University

2023 – 2025 Budget Development Guidelines

Approved by:

Ebrahim Jafar Alahmed
Vice President
Finance and Business Development

Signature:

Signed by:Ebrahim Jafar Alahmed
Signed at:2022-04-21 13:50:41 +04:00
Reason:I approve this document. Ebrahi

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Abdulla AlMansoori

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1. Introduction

The aim of this document is to assist the following (who shall be addressed as budget owners in this document) in preparing the 2023-2025 budgets.

Budget Owner Approver	Budget Owner Preparer
President	Vice President Compliance & Risk Management Vice President Audit General Counsel Office of the President
Executive Vice President	Director, Institutional Research and Planning Director, Marketing and Communication
Provost	Dean of Engineering Dean of Art & Science Dean of Medicine
Senior Vice President, Academic and Student Services	Assistant VP Student Affairs & Outreach Assistant VP Strategic Enrollment Management Assistant VP Graduate Studies Director, Libraries
SVP Support Services	Vice President, Human Resources Vice President, Procurement and Contracts Vice President, Administration, Facilities and EHS CEO of ANKABUT Continuing Education
Senior Vice President Finance & Investment	Vice President, Finance and Budget Vice President, Investment
SVP Research and Development	Senior Director, Institute for Automation information Science and communication Senior Director, Petroleum Institute Senior Director, Masdar Institute Director, Research Laboratories Director, Research Services Director, University Sponsored Research Director, Technology Management and Innovation Director, Research Computing

The 2023 Khalifa University budget covers the period 1 January 2023 to 31 December 2023 and 2024 to 2025.

The following sections outline the timelines and guidelines to follow for the completion and submission of the budget through Hyperion Budgeting and Planning System by finance. Individual budget working templates will be distributed to the respective budget owners listed above for budget pre-preparation and data gathering. A macro-level budget narrative document accompanies the budget system to provide the main details and justification for the resources requested as an attachment. In addition, the submission of budget proposals requires the following mandatory information as Justification and evidence.

- The budget owners department should provide wherever applicable and appropriate for each item/line in the operating & capital budget items. If the budget proposed were to be received without adequate supporting documents, justification & and lacking details of computation and breakdown, they shall be excluded from the submission. It is required to submit the below documents as supporting for each budgeted item.

    - Contract copy
    - Agreement copy
    - PO copy
    - Quotations

- The management requested to prepare the budget proposal with another three scenarios, to make the budget preparation process & budget allocation to be more efficient. There are three columns in the template for the 2023 budget proposal as 90% (10% Deduction), 80% (20% Deduction), 70% (30%Deduction), and each of them should fill up accurately with impact & Justification, if the DoF come up with reduction in the budget, one the most relevant scenario will be selected.

- In the budget template, the 'Budget Itemized' sheet (Tab) needs to fill up with the OPEX and CAPEX details for the year 2023 to 2025, and all the columns are mandatory to be filled which explained in the template, it includes Itemized Details, quantity, rate, drivers & quantity, estimated actual expenditures for the full-year 2022, budget proposal scenarios, cash flow, expenditure frequency, budget activity type, etc., and 2024/25 no need enter the cash flow. In the budget template, two separate tabs for the years 2023 and 2024/25.

- The budget activities are classified as strategic new initiatives and regular operations for the year 2023. The budget template column, namely the 2023 Budget Activity Type, selects the appropriate value to emphasize the regular & new initiatives.

- The management has advised us to prepare the FY2023 budget using driver-based budgeting (DDB) for each activity. A budget driver is a unit of activity that consumes resources or influences the level of activities. In the budget template, the budget driver column lists many budget drivers; you need to select the most appropriate driver by clicking the drop box. If not listed, you need to contact the budget team to add the most relevant driver. The objective of the driver-based budget is to assess the impact; if any changes in the budget or scope, it helps identify. It Improves visibility of budgeting, & each department estimates their activities budget logically & better plan to run the activities.

- The budget should be linked to the university's strategic & departmental operational objective. While In the budget preparation, you should fill the template and select the strategy & correct department objective in a respective column for each budget account line.

- ADEO Strategic Project budget details, submission and template for 2023 to 2025 will be communicated by IRP office Dr. Hesham Wagih Gomma / hesham.gomma@ku.ac.ae to Sector Management.

- For academic and research programs, collaboration amongst different departments is encouraged to best utilize staffing, equipment and supply resources.

- There shall be five different budget working template sent to the budget owners.

    1. For Personnel Budget – This working template would be circulated by HR. The budget owners would need to fill them up and send them directly to HR.
    2. For Operating, Capital budgets and Checklist – This working template would be circulated by Finance. The budget owners would need to fill them up and attached them along with the proposal to forward it to Budget team.
    3. For Abu Dhabi Digital Authority - IT Template: This working template would be circulated by Finance. This template needs to be filled by referring to the IT software catalogue list in the KU portal and send them directly to IT.

    4. FMS department shall provide an End User Facilities Budget Request Form for each Sector. The Sectors are expected to submit their Form for 2023-2025 to FMS, within the submission deadline communicated by FMS. Further detail you need to contact Mr. Khalifa Al Hosani - khalifa.alhosani@ku.ac.ae

- The externally funded research projects are not to be included in this submission.

- Any Purchase Order that is issued in 2022 is expected to be received/ services availed and paid during 2023, to be re-budgeted is required and no carry forward is permitted by DOF from year 2022 to 2023.

2. Budget Development Timelines

Stage	Process name	Date
1	Circulate a budget guidelines and working templates for the years 2023,2024 and 2025	By 22nd April
	Workshop & Inquiries	25th - 28th April
	Department to submit a budget proposal to Budget section for the years 2023,2024 and 2025	By 07th June
	Business development office to submit revenue budget for year 2023,2024 and 2025 to Budget section	By 07th June
	Procurement to submit the contract list with softcopy of the financial term pages in the contracts.	By 07th June
	To submit HR manpower plan data for the years 2023,2024 and 2025 to be reviewed with VP finance	By 07th June

	Consolidation, review, meetings and update with budget owners for the years 2023,2024 and 2025	08th - 29th Jun
	The Management & Board of Trustees will review and approve the first budget submission of years 2023, 2024, and 2025.	04th -15th July
	Budget First submission to the DoF for the years 2023,2024 and 2025	By 29th July (TBD)
02	DOF to issue the budget circular inclusive of budget ceiling & additional guideline for the three years	By Aug & Sep (TBD)
	Department may requested to review and resubmit the budget proposal to be in lined with DoF latest circular.	By Aug & Sep (TBD)
03	The Abu Dhabi Executive office circulates the final budget ceiling to re-distribute the proposed budget.	By Oct (TBD)
	Department may request to review and re-distribute the proposed budget to in line with Abu Dhabi Executive office final budget ceiling.	By Oct (TBD)

3. Enrollment Projections

Enrollment projections for fall 2022, spring 2023 and Fall 2023 along with the projections for the years 2023 till 2027 are to be provided by the Institutional Research office. These numbers must be broken down by nationality (local or non-local), accommodation status, campus and graduation dates.

4. Budget Object Level Expense Categories

4.1. Manpower

HR department shall provide a manpower budget working template for each Sector. The Sectors are expected to submit their manpower budget for 2023-2025 to HR, within the submission deadline communicated by HR.

Manpower Supply Account (421100) has been closed by DoF. You now need to budget under chapter-01 on the below related account codes;

- 413310 - Consolidated cost of outsourced employees
- 413327 - IT Manpower supply-ICT Specialized resources

Graduate student stipends & Research personnel costs (post docs, research associates, research assistants, research temps, visiting research grad students) are to be considered

under operating budget category. In such cases, headcount, period of service, and itemized monthly costs are required.

After finalizing the list of positions, HR shall fill the Hyperion system with the final list of positions, along with the costing elements (earnings and benefits).

4.2. Operating Budgets

The budget estimate for the annual expenditures for the accounts will be allocated to the individual budget owners' departments/units. The 2023 to 2025 estimates should be arrived after evaluating department activities, needs and new initiatives, which should be aligning it with the University strategy and policy.

1. For some account lines, a content expert has been identified as below table. If the budget pertains to the University as a whole, that budget would need to be centralized in the content expert department. (For example, events like Najah, Open Day, National Day, Graduation Ceremony, etc. Another example would be university-wide Microsoft license) If the budget is related to the activity of a specific department, it would need to be included in the department's budget. (For example, faculty retreat, guest lectures, department-specific/research-specific software, etc.) This proposal will also be review by the content expert for alignment with the KU process and remove any duplication.

External Relations	Director, Marketing and Communication
Advertising	425100
Marketing	425100
Communications	427100
Gifts	428640
Photography	435519
Conferences and Exhibitions	425510
Events	425510
IT	**Director, Technology Development**
Computer software licenses-Software License Renewal	426610
Computers and peripherals-End user and Infrastructure components maintenance and support	432205
Rental - Computer hardware-Rental/Subscription - Computer hardware	430250
Hardware & peripherals-Network Devices	492352
Computer software-Application, Platform	495113
Hardware & peripherals-Peripherals & Infrastructure Components	492354
Hardware & peripherals-Conferencing & AV	492356
Labs	**Director, Research Laboratories**
Lab equipment	492316
Lab supplies	435508
Maintenance of equipment	432690
Facilities	**Director, Administration and Facilities**
Furnishing and décor (Operating)	435910
Furniture and Fixtures	492610
Building Improvements	492200
Student Services	**Director, Student Services**
Activities and Field trips	425760
HR	**Director, Human Resources**
Consolidated cost of outsourced employees	413310
IT Manpower supply-ICT Specialized resources	413327
Entertainment and hospitality	425900
Training - air tickets	415353
Training- per diem	415353
LEGAL	**General Counsel**
Legal and professional fees	420900
Miscellaneous	**Manager, Business Development**
Consultancy	421000
Hospitality	425900
Research	**Director, Institutional Research and Planning**
Accreditation	421700

2. addition, the accounts listed below are required to have detailed computations/ calculations/breakdown in the designated template :

The accounts listed below are required to have detailed computations/ calculations/breakdown in the designated template	
Account Description	**Calculation Basis**
Building maintenance	Centralized in Facilities. To be broken down by campus
Building décor & minor improvements	Centralized in Facilities. To be broken down by campus
Water & Electricity	Centralized in Facilities. To be broken down by campus. For hostels, it needs to be budgeted by Student Services
Student Accommodation	Centralized in Student Services. To be broken down by hostel
Student Textbooks	Calculation methodology is required
Student activities	detailed breakdown by activity is required
Academic Missions	Calculation methodology is required
Advertising	Detailed list is required
Events	Detailed list is required
Public Relations	Detailed list is required
Accreditation	Details of programs to be accredited are required
Business trips	Calculation methodology is required
Advisory services	Details of academic boards are required
Software renewals	Itemized list is required
Cleaning services	Centralized in Facilities. To be broken down by campus
Landscaping services	Centralized in Facilities. To be broken down by campus
Security services	Centralized in Facilities. To be broken down by campus
Consolidated cost of outsourced employees	Itemized list is required
IT Manpower supply-ICT Specialized resources	Itemized list is required

- Research expenses- Budgeted under operating and capital where applicable and following the asset capitalization policy. Detailed breakdown listing the method of calculation is to be submitted which should include the breakdown by expenditure type and also to provide the number of the resources/ staff and it's rate. If the budget is made against one general research account, the detailed breakdown between different components should be provided in the itemized sheet.

- Additional Schedules: There are requirements other than budgeting. The DoF needs more information about vehicles, buildings, rental, human resources outsourcing, etc., from specific department/s, and relevant templates shall be sent along with the budget template and it should be send as budget deadline.

4.3. Standard Budget Rates – Academic Departments

The following standard rates have been established for the Academic Departments as a guide to utilize in developing their Operating budgets. These rates do not guarantee the budget allocation. These rates are for indicative purposes. Any change from them need to be substantiated in the submission:

- Accreditation visits: AED 150,000 for required departments.
- Advisory panel visits: AED 140,000 for required departments
- Conferences (Research & Non- Research)
    - Budget shall be under the program chair
    - AED 15,000 per faculty per trip
    - To be budgeted 1 trip per faculty
- Curriculum development: Depending on requirements of department.
- Student activities and trips:
    - 10,000 for professional organizations *(professional organizations to be listed)*
    - 5,000 per local competition *(rationale to be provided for number of local competitions)*
    - 2,500 per local field trip *(rationale to be provided for number of local field trips)*
    - 25,000 per eligible student for international internship *(rationale to be provided for estimated students eligible for international internship as a percentage of total student population)*

4.4. Capital Equipment

Capital equipment is defined items where capital in nature, has a life expectancy beyond one year (not considered a consumable), capital equipment AED 5,000 and above should be budgeted under Capex. Capital equipment is to be summarized on the equipment working template according to the following categories:

- General Equipment: Plant & Equipment; Office Equipment; Teaching Equipment; Lab Equipment
- Furniture and Fixtures
- IT Equipment and Software
- Vehicles
- Buildings: New Buildings; Building Improvements

The Capital Equipment estimates for 2023 to 2025 should be arrived at by aligning it with the Academic, Research or Institutional requirement of the University.

1. Capital items should be listed under the respective equipment category along with a description of the item, its purpose and rationale, the quantity and unit cost of the item and the life expectancy of the item. Individual entries should be made for each unique capital item. The total cost of each category should be identified in the respective month of purchase.
2. For regular capital items that are provided as part of the University policy (Furniture, PC, Laptops, Software etc. are examples), they would need to be budgeted by the

concerned content expert department. The regular departments would need to budget only for capital items that specifically pertain to their units.

3. Capital items related to internal research projects to be in Capex proposal.
4. Budget requests received without the above mentioned detail shall be excluded from the budget consolidation.
5. The capital budget requests must be made considering the overall interests of the university, ensuring optimum resource sharing between departments and research projects.

4.5. Revenue

Business development unit responsible for planning and growth of KU revenues, its work frame to study opportunities and coordinate with all department for generating and increasing revenues , for the following revenues channels for the year 2023 to 2025 :-

1- Students Services department: to liaise with BD unit in budgeting revenues for sponsorship of students, tuition fees, accommodation, transportation, and other students related fees.
2- Administration, Facilities, EHS Department: to liaise with BD unit in budgeting revenues for rental spaces and other services.
3- Continuing Education department: to budget for expected revenues from CEC and training activities.
4- Other revenue channels: to liaise with concerned departments when necessary.

The above to be submit to Business Development section by 31st May 2022.

And after the Business Development section review all revenue then will endorsed it to Budget section. You can reach Business Development section by contact Mr. Hesham Salem on hesham.salem@ku.ac.ae.

4.6. Abu Dhabi Digital Authority - IT Template

The information technology (IT) budget requirements for your department need to be communicated to the Finance Department in the standard OPEX & CAPEX template as part of your overall budget proposal.

In addition to that, IT budget items needs to be entered in another summarized template from the government entity ADDA available as an additional Excel sheet named (ADDA) in your standard OPEX &CAPEX template for the submission to the Finance Department along with supporting documents.

Regarding the renewal of educational software available in the KU Software Catalog, that needs to be grouped as your department requirements in a separate list and added the total amount in the ADDA template as one item. There is no need to attach supporting documents for the software renewal available in the KU academic software catalog.

The IT Budget will be shared with IT Department for verification and consolidation of all ADDA templates in order to be sent to ADDA for approval. It is a must to fill up the ADDA templates. Otherwise, DoF will exclude the proposal from the FY2023 budget.

In case you have any inquiry on ADDA form, please contact the Director for Technology Operations, Sofiane Benna, sofiane.benna@ku.ac.ae“

4.7. Budget Check List

The checklist shall be circulated for all the end-users with the budget template, where all the items should be ticked and completed to ensure the completeness of all the FY2023-2025 budget requirements.

4.8. Procurement support

Procurement department have to submit the contract and agreement list with its financial pages soft copies by 31st May 2022.

4.9. Things to Consider

Due to the tight timelines for the budget submission to DOF, the departments must strictly adhere to the deadlines, providing support documents and detailed requirements specified above. Therefore, finance shall cancel or make zero budget requests submitted without supporting documents and justification or breakdown.

Failure to adhere to the timelines may result in a default allocation based on a percentage reduction on 2023 budgets.

In case the budget owner is supposed to go on leave during the budget cycle, he/she should submit the budget before the start of the leave, and during the leave the acting person should be able to provide all requirements for the budget submission.

This guideline might be changed if we receive additional or different instructions from DOF in the coming days.

The budget department is available to provide assistance in the preparation of the budget proposal. For help, please contact Abdulla Almansoori on abdulla.almansoori@ku.ac.ae or Al Anood Al Khoori on alanood.alkhoori@ku.ac.ae or Mushtaq Sheriff on mushtaq.sheriff@ku.ac.ae or Eiman Al Khoori on eiman.alkhoori@ku.ac.ae or Fatema Al Mazrooei on fatima.almazrooei@ku.ac.ae .